

EXHIBIT 1.A

Audited Financial Statements

The Flintkote Asbestos Trust

**Special-Purpose Financial Statements
and Supplementary Information**
Years Ended December 31, 2025 and 2024

The report accompanying these financial statements was issued by BDO USA, P.C., a Virginia professional corporation, and the U.S. member of BDO International Limited, a UK company limited by guarantee.



The Flintkote Asbestos Trust

Special-Purpose Financial Statements
and Supplementary Information
Years Ended December 31, 2025 and 2024

The Flintkote Asbestos Trust

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Independent Auditor's Report

Trustees
The Flintkote Asbestos Trust
Wilmington, Delaware

Opinion

We have audited the special-purpose financial statements of The Flintkote Asbestos Trust (the Trust) (a statutory Trust created under the laws of the State of Delaware), which comprise the special-purpose statements of assets, liabilities, and net assets as of December 31, 2025 and 2024, and the related special-purpose statements of changes in net assets and the special-purpose statements of cash flows for the years then ended, and the related notes to the special-purpose financial statements.

In our opinion, the accompanying special-purpose financial statements present fairly, in all material respects, the net assets of the Trust as of December 31, 2025 and 2024, and the changes in net assets and cash flows for the years then ended, in accordance with the basis of accounting described in Note 2 to the special-purpose financial statements.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Special-Purpose Financial Statements* section of our report. We are required to be independent of the Trust and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matter - Basis of Accounting

We draw attention to Note 2 of the special-purpose financial statements which describes the basis of accounting. As described in Note 2, the accompanying special-purpose financial statements were prepared using a special-purpose basis of accounting adopted by the Trust which is a basis of accounting other than accounting principles generally accepted in the United States of America. The special-purpose basis of accounting has been used in order to present the net assets presently available for current and future claims and operating expenses. As a result, the special-purpose financial statements may not be suitable for another purpose. Our opinion is not modified with respect to this matter.



Responsibilities of Management for the Special-Purpose Financial Statements

Management is responsible for the preparation and fair presentation of the special-purpose financial statements in accordance with the basis of accounting as described in Note 2 to the special-purpose financial statements. Management is also responsible for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of special-purpose financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the special-purpose financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Trust's ability to continue as a going concern within one year after the date that the special-purpose financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Special-Purpose Financial Statements

Our objectives are to obtain reasonable assurance about whether the special-purpose financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the special-purpose financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the special-purpose financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the special-purpose financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Trust's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the special-purpose financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Trust's ability to continue as a going concern for a reasonable period of time.



We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Other Matter - Restriction of Use

Our report is intended solely for the information and use of the Trust and is not intended to be and should not be used by anyone other than the specified party.

Other Matter - Other Information Included in the Annual Report

Management is responsible for the other information included in the annual report. The other information comprises the annual report and account of the Trust for the year ended December 31, 2025, but does not include the special-purpose financial statements and our auditor's report thereon. Our opinion on the special-purpose financial statements does not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the special-purpose financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the special-purpose financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

BDO USA, P.C.

McLean, Virginia
April 24, 2026

Special-Purpose Financial Statements

The Flintkote Asbestos Trust

Special-Purpose Statements of Assets, Liabilities, and Net Assets

<i>December 31,</i>	2025	2024
Assets		
Cash and cash equivalents	\$ 20,524,561	\$ 13,128,957
Investments, at fair value:		
Bonds	339,066,299	358,152,815
Equity securities	93,604,103	77,269,423
Alternative investments	66,217,510	63,652,598
Investment in The Flintkote Company	-	599
Interest receivable	4,229,467	4,401,229
Total Assets	523,641,940	516,605,621
Liabilities		
Accrued expenses and accounts payable	9,950	76,882
Settled but unpaid claims	3,469,994	1,470,977
Total Liabilities	3,479,944	1,547,859
Net Assets	\$ 520,161,996	\$ 515,057,762

See accompanying notes to special-purpose financial statements.

The Flintkote Asbestos Trust**Special-Purpose Statements of Changes in Net Assets**

<i>Year ended December 31,</i>	2025	2024
Additions		
Interest and dividend income, net	\$ 13,896,101	\$ 14,128,829
Insurance recoveries	4,448,643	5,237,229
Net change in value of The Flintkote Company	196	6,368,313
Net appreciation in fair value of investment securities	21,888,680	4,069,416
Net change in fair value of alternative investments	11,870,567	6,137,310
Total Additions	52,104,187	35,941,097
Deductions		
Personal injury claims expenses	39,847,811	41,380,925
Operating expenses	4,207,933	4,329,300
Claims processing expenses	2,808,209	1,987,354
Income tax expense	136,000	517
Total Deductions	46,999,953	47,698,096
Increase (Decrease) in Net Assets	5,104,234	(11,756,999)
Net Assets, beginning of year	515,057,762	526,814,761
Net Assets, end of year	\$ 520,161,996	\$ 515,057,762

See accompanying notes to special-purpose financial statements.

The Flintkote Asbestos Trust
Special-Purpose Statements of Cash Flows

<i>Year ended December 31,</i>	2025	2024
Cash Flows from Operating Activities		
Increase (decrease) in net assets	\$ 5,104,234	\$ (11,756,999)
Adjustments to reconcile increase (decrease) in net assets to net cash used in operating activities:		
Change in value of The Flintkote Company	(196)	(6,368,313)
Net appreciation in fair value of investment securities	(21,888,680)	(4,069,416)
Net change in fair value of alternative investments	(11,870,567)	(6,137,310)
Amortization of premiums on bonds, net	3,206,535	3,078,158
Changes in operating assets and liabilities:		
Interest receivable	171,762	63,493
Accrued expenses and accounts payable	(66,932)	(104,932)
Settled but unpaid claims	1,999,017	(706,940)
Total Adjustments	(28,449,061)	(14,245,260)
Net Cash Used in Operating Activities	(23,344,827)	(26,002,259)
Cash Flows from Investing Activities		
Sales and maturities of bonds	142,760,354	135,487,545
Purchases of bonds	(119,984,882)	(138,245,613)
Sales of equity securities	4,905,645	5,289,864
Purchases of equity securities	(6,247,136)	(6,369,710)
Liquidation of alternative investments	9,305,874	4,085,907
Purchases of alternative investments	(219)	(256)
Distributions from The Flintkote Company	795	28,977,366
Net Cash Provided by Investing Activities	30,740,431	29,225,103
Net Increase in Cash and Cash Equivalents	7,395,604	3,222,844
Cash and Cash Equivalents, beginning of year	13,128,957	9,906,113
Cash and Cash Equivalents, end of year	\$ 20,524,561	\$ 13,128,957

See accompanying notes to special-purpose financial statements.

The Flintkote Asbestos Trust

Notes to Special-Purpose Financial Statements

1. Description of the Trust

On May 1, 2004, The Flintkote Company (Flintkote) filed a voluntary petition for reorganization under Chapter 11 of the United States Bankruptcy Code (Bankruptcy Code) in the United States Bankruptcy Court for the District of Delaware (the Bankruptcy Court). Flintkote's wholly owned subsidiary, Flintkote Mines Limited (Mines), filed a voluntary petition for reorganization under Chapter 11 of the United States Bankruptcy Code in the United States Bankruptcy Court for the District of Delaware on August 25, 2004. The Bankruptcy Court entered an order directing the procedural consolidation and joint administration of the Chapter 11 cases for Flintkote and Mines (collectively, the Debtors) on September 9, 2004. The first Amended Joint Plan of Reorganization in respect of The Flintkote Company and Flintkote Mines Limited was filed by the Debtors on November 16, 2011, and was subsequently modified on February 9, 2015 (the Modified Plan), which Modified Plan was supported by the Asbestos Claimants Committee and the Future Claimants' Representative.

On August 10, 2015, the Bankruptcy Court entered an order (the Confirmation Order) confirming the Debtors' Modified Plan (the Confirmed Plan). The United States District Court for the District of Delaware adopted, issued and affirmed the Confirmation Order on August 13, 2015. The Confirmation Order has become final and cannot be appealed. The Confirmed Plan became effective on September 30, 2015 (the Effective Date) in accordance with its terms. Capitalized terms used but not otherwise defined in these notes to the special-purpose financial statements shall have the respective meanings ascribed to such terms in the Confirmed Plan.

The essential elements of the Confirmed Plan included the creation of The Flintkote Asbestos Trust (the Trust) to (a) assume the liabilities of the Debtors and their predecessors and successors in interest for all Asbestos Trust Claims; (b) preserve, hold, manage and maximize the Trust Assets for use in paying and otherwise satisfying Asbestos Trust Claims and paying the Trust Expenses; (c) direct the processing, liquidation and payment of all Asbestos Trust Claims in accordance with the Trust Distribution Procedures; and (d) otherwise comply in all respects with the requirements of a trust set forth in Section 524(g)(2)(B) of the Bankruptcy Code, all in accordance with the Confirmed Plan and the Trust Agreement.

The Trustees are responsible for supervising and administering the Trust in accordance with the terms of the Trust Agreement and the Trust Distribution Procedures (TDP).

2. Summary of Significant Accounting Policies

Basis of Presentation

The Trust's financial statements are prepared using special-purpose accounting methods adopted by the Trust, which differ from accounting principles generally accepted in the United States of America (GAAP). The special-purpose accounting methods have been used in order to present the net assets presently available for current and future claims and operating expenses. Since the accompanying special-purpose financial statements are not based upon GAAP, the accounting treatment by other parties for these same transactions may differ as to timing and amount. The special-purpose accounting methods include the following:

- Assets are generally recorded when they are received by the Trust and are available for the payment of asbestos claims.

The Flintkote Asbestos Trust

Notes to Special-Purpose Financial Statements

- Future fixed liabilities under contractual obligations and other agreements entered into by the Trust are recorded as deductions from net assets in the same period that such contractual obligations or agreements are signed. Under GAAP, liabilities and contractual obligations are recorded over the period that is benefited by the underlying contract or agreement.
- The full amounts of claims will be expensed in the period in which the confirmed claims are settled. A settled claim is a claim that has been allowed by the Trust and accepted by the claimant, with an approved release. Under GAAP, a liability would be recorded for an estimate of the amount to be paid for claims that have been incurred but not yet reported, and for those claims that have been submitted but not yet approved for payment by the Trust. There were settled but unpaid claims of \$3,469,994 and \$1,470,977 as of December 31, 2025 and 2024, respectively. Total claims paid during the years ended December 31, 2025 and 2024 aggregated \$37,848,794 and \$42,087,865, respectively.
- Payments for services to be received over an extended period in the future are expensed as paid because these amounts are no longer available for the payment of claims. Under GAAP, an asset would be recorded and amortized over the period in which the related benefits are received.
- Payments for property and equipment are expensed as incurred. Under GAAP, payments for property and equipment are capitalized and depreciated over the useful lives of the assets. To date, the Trust has incurred no expense related to purchases of property and equipment.
- Income tax expense is estimated and recorded as incurred in the period in which certain income and expense items affect current federal income taxes payable. Under GAAP, the provision for income taxes is recorded based upon income reported for special-purpose financial statement purposes, and federal income taxes both currently payable and changes in deferred taxes due to differences between financial reporting and tax bases of assets and liabilities. Under GAAP, deferred taxes include a provision for taxes attributable to changes in unrealized gains and losses on investments.
- Insurance recoveries are not recorded until the funds are received from the insurance carriers. These recoveries come from various insurance settlements, which were obtained by the Trust and related entities including Debtors and other affiliates and assigned to the Trust. The insurance policies cover, among other things, products and general liability claims. Future recoveries under such settlements have been assigned to the Trust pursuant to the Confirmed Plan. Under GAAP, insurance recoveries are recorded upon settlement and assurance of collectability.
- Under GAAP, for financial statement disclosure purposes all investments would be categorized based on the priority of inputs used to measure fair value. Under GAAP, inputs used in measuring fair value are categorized into three levels. Level 1 includes inputs that are based upon quoted prices for identical instruments traded in active markets. Level 2 includes inputs that are based upon quoted prices for similar instruments in active markets, quoted prices for identical or similar investments in markets that are not active, or models based on valuation techniques for which all significant assumptions are observable in the market or can be corroborated by observable market data for substantially the full term of the investment. Level 3 includes inputs that are generally unobservable and typically reflect management's estimates of assumptions that market participants would use in pricing the asset or liability. The fair values are therefore determined using model-based techniques that include option pricing models, discounted cash flow models, and similar techniques.

The Flintkote Asbestos Trust

Notes to Special-Purpose Financial Statements

The accompanying special-purpose financial statements do not categorize all investments into these levels.

- The investment in Flintkote (Note 5) is reported at the net book value of Flintkote, which is calculated as assets held less liabilities. Any change in value of the Trust's investment in Flintkote is recorded in the accompanying special-purpose statement of changes in net assets. Under GAAP, the assets, liabilities, equity, revenues and expenses of Flintkote would be consolidated with the activities of the Trust.

Use of Estimates

The preparation of financial statements in conformity with the special-purpose accounting methods described above requires the Trust to make estimates and assumptions that affect the reported amounts of certain assets and liabilities and the disclosures of contingent assets and liabilities at the date of the special-purpose financial statements, as well as the reported amounts of additions and deductions to the net assets during the reporting period. Actual results could differ from those estimates and such differences could have a material effect on the net assets.

Cash Equivalents

The Trust considers all highly liquid instruments with original maturities of three months or less to be cash equivalents.

Investments

Investment securities are stated at fair value. Fair value for investment securities, other than alternative investments, are based on quoted market prices for identical or similar instruments traded in active markets as of the date of the special-purpose financial statements. The fair value for alternative investments is based on the Trust's proportionate share of each fund's net assets, as reported as of the date of the special-purpose financial statements. The net appreciation or depreciation in the fair value of investments in the accompanying special-purpose statements of changes in net assets consists of realized gains or losses on sales of investments and the changes in unrealized gains or losses on investments held. Investment income is recognized when earned. Interest and dividend income, net of investment expenses and amortization and accretion of bond premiums or discounts, are included in interest and dividend income, net in the accompanying special-purpose statements of changes in net assets. Gains and losses on sales of investment securities are determined using the average cost method.

Accrued Expenses and Accounts Payable

Accrued expenses and accounts payable consist of accruals and outstanding invoices associated with managing and operating the Trust.

Operating Expenses

Operating expenses of the Trust are paid from the net assets when invoices are received.

Claims Processing Expenses

Claims processing expenses are paid from net assets when invoices are received.

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Notes to Special-Purpose Financial Statements

Income Taxes

The Trust is classified as a Qualified Settlement Fund pursuant to the Internal Revenue Code and Regulations thereunder (the Code). As a result, the Trust is subject to federal income taxes based on modified gross income, as defined by the Code. In the opinion of the Trustees and advisors, the Trust is not subject to state income taxes and, therefore, the special-purpose financial statements do not include any provision or liability for state income taxes.

Income tax expense is estimated and includes amounts payable or receivable under current federal income taxes.

The Trust records income tax expense (or benefit) associated with amounts payable (or receivable) under current federal income taxes and does not record a provision for (or benefit from) deferred taxes. Accordingly, there is no provision for deferred taxes associated with changes in cumulative unrealized gains and losses on investments (see Note 4). The income taxes associated with gains on investments will be recorded in the Trust's special-purpose financial statements when the net gains are realized (i.e. the securities are sold) and the taxes become currently payable.

The Trust is generally no longer subject to income tax examinations by the Internal Revenue Service for the years ended December 31, 2021 and prior.

Risks and Uncertainties

Certain of the Trust's assets are exposed to credit risk. Cash and cash equivalents are maintained at financial institutions and, at times, balances may exceed federally insured limits. The Trust has never experienced any losses related to these balances. Amounts on deposit in excess of federally insured limits at December 31, 2025 approximate \$900,000.

The Trust invests in a professionally managed portfolio that contains common shares of publicly traded companies in the United States and internationally, U.S. government obligations, money market funds, and alternative investments. Such investments are exposed to various risks such as interest rate, market, and credit risks. Due to the level of risk associated with certain investment securities, it is at least reasonably possible that changes in the values of investment securities will occur in the near term and that such changes could materially affect the Trust's account balance and the amounts reported in the special-purpose statement of assets, liabilities and net assets.

3. Funding Under Joint Plan of Reorganization

In accordance with the Confirmed Plan, on the September 30, 2015 Effective Date, the Trust was funded with the following Trust Assets:

- (a) On the Effective Date, Flintkote issued all of the New Flintkote Stock to the Trust making the Trust the sole owner of Flintkote. The initial value of the Trust's 100% ownership interest in Flintkote was \$46,109,000, as of the Effective Date, in accordance with Flintkote's \$1.468B-3 Statement.
- (b) Pursuant to the Confirmed Plan, the Trust was funded with the Net ITCAN Settlement Funds arising out of the ITCAN Settlement Agreement. The ITCAN Settlement Agreement required Imperial Tobacco Canada Limited to pay the Debtors the ITCAN Settlement Funds (\$575,000,000) on or before December 31, 2014. Pursuant to the Confirmed Plan, on the

The Flintkote Asbestos Trust

Notes to Special-Purpose Financial Statements

Effective Date, the Trust was to be funded with the ITCAN Settlement Funds net of (i) the Allowed DRL Fee Amount payable to the Dividend Recovery Litigation Counsel (a team of attorneys retained on behalf of the Debtors pursuant to an order of the Bankruptcy Court), and (ii) the Flintkote DRL Recovery amount payable to Flintkote. On August 10, 2015, the Bankruptcy Court for the District of Delaware entered an order approving fees, costs, and expenses of the Dividend Recovery Litigation Counsel pursuant to 11 U.S.C. 328(a) contingent upon the occurrence of the Effective Date. In accordance with Section 14.1.2 of the Plan, the Allowed DRL Fee Amount in the amount of \$114,964,075 was paid directly from the ITCAN Settlement Funds on the Effective Date. As a result, following the payments of the Allowed DRL Fee Amount and the Flintkote DRL Recovery, the Trust received \$460,035,925 on the Effective Date, representing the Net ITCAN Settlement Funds.

- (c) The Trust received all cash and instruments held by the Debtors as of the Effective Date other than the Reserve Cash. The Reserve Cash is defined by the Plan in Section 1.1.116 as an amount equal to: (a) a working capital reserve in the amount the Debtors, after consultation with the Asbestos Claimants Committee and the Future Claimants' Representative, determined Reorganized Flintkote will require for working capital purposes, plus (b) the Flintkote DRL Recovery, plus (c)(i) the Allowed Amount of Administrative Claims against the Debtors; (ii) a reasonable estimate by the Debtors of additional Administrative Claims (including Fee Claims) against the Debtors that may become allowed after the Effective Date; (iii) the Allowed Amount of Priority Tax Claims against the Debtors; (iv) a reasonable estimate by the Debtors of additional Priority Tax Claims against the Debtors that may become allowed Priority Tax Claims after the Effective Date; (v) the Allowed Amount of all Priority Claims against the Debtors; (vi) a reasonable estimate by the Debtors of all Priority Claims that may become allowed Priority Claims against the Debtors after the Effective Date; (vii) an amount equal to 35% of the Allowed Amount of all Unsecured Claims against the Debtors; and (viii) an amount equal to 35% of a reasonable estimate of all other Unsecured Claims against the Debtors that may become allowed Claims after the Effective Date.
- (d) Additionally, the Trust received the Qualified Settlement Fund Proceeds as of the Effective Date. The Qualified Settlement Fund was the fund established by the Bankruptcy Court's order dated July 13, 2005, to serve as the repository of certain funds contributed to Flintkote. The proceeds received consisted of cash and investments held in the Qualified Settlement Fund. Total cash received was \$31,085,888, and total investments received was \$234,185,419.

4. Investment Securities

Investments in bonds and equity securities consist of the following:

December 31, 2025

	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
Bonds	\$334,300,870	\$ 4,765,429	\$ -	\$339,066,299
Equity securities	25,144,467	68,459,636	-	93,604,103
	\$359,445,337	\$73,225,065	\$ -	\$432,670,402

The Flintkote Asbestos Trust

Notes to Special-Purpose Financial Statements

December 31, 2024

	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
Bonds	\$360,429,503	\$ 445,635	\$ (2,722,323)	\$358,152,815
Equity securities	24,094,612	53,174,811	-	77,269,423
	\$384,524,115	\$53,620,446	\$ (2,722,323)	\$435,422,238

Net appreciation in the fair value of investment securities of \$21,888,680 and \$4,069,416 for the years ended December 31, 2025 and 2024, respectively, consist of the net change in unrealized gains (losses) and net realized gains (losses) from investment sales.

Net Unrealized Losses

The net change in unrealized gains (losses) from market appreciation (depreciation) is comprised of the following investments:

<i>Year ended December 31,</i>	2025	2024
Bonds	\$ 7,042,117	\$ (8,785,493)
Equity securities	15,284,825	13,496,939
	\$ 22,326,942	\$ 4,711,446

Net Realized Gains and Losses

Net realized losses from investment sales consist of the following:

<i>Year ended December 31,</i>	2025	2024
Bonds	\$ (146,626)	\$ (197,542)
Equity securities	(291,636)	(444,488)
	\$ (438,262)	\$ (642,030)

Summary of Changes in Alternative Investments

The table below sets forth a summary of changes in the fair value of the Trust's alternative investments:

<i>Year ended December 31,</i>	2025	2024
Balance , beginning of year	\$ 63,652,598	\$ 61,600,939
Purchases of alternative investments	219	256
Liquidation of alternative investments	(9,305,874)	(4,085,907)
Net change in fair value	11,870,567	6,137,310
Balance , end of year	\$ 66,217,510	\$ 63,652,598

The Flintkote Asbestos Trust

Notes to Special-Purpose Financial Statements

Alternative Investment Categories

The major categories of the Trust's alternative investments, including general information related to each category, are as follows:

	2025	2024	Redemption Frequency (if Currently Eligible)	First/Next Redemption	Notice Period (Days)	Gate (%)
Long/short fund ^(a)	\$ 6,617,877	\$ 5,884,063	Quarterly	March 31, 2026	60	-
Multi-strategy fund ^(b)	8,934,738	8,028,717	Semi-annually	June 30, 2026	65	10
Multi-strategy fund ^(b)	10,584,590	9,350,010	50% Semi-annually	June 30, 2026	60	25
Multi-strategy fund ^(b)	8,537,450	7,734,144	25% Quarterly	March 31, 2026	67	-
Multi-strategy fund ^(b)	427,056	6,262,662	In liquidation	N/A	N/A	N/A
Total Multi-strategy funds	28,483,834	31,375,533				
Credit opportunities fund ^(c)	28,171	30,594	In liquidation	N/A	N/A	N/A
International equity fund ^(d)	14,731,452	13,210,882	Monthly	January 1, 2026	10	-
International equity fund ^(d)	16,356,176	13,151,526	Daily	January 1, 2026	2	-
Total international equity funds	31,087,628	26,362,408				
Total Alternative Investments	\$ 66,217,510	\$ 63,652,598				

(a) The alternative investment in this category employs long and short trading strategies in various markets. More specifically, these long/short strategies include preservation and growth of capital over the long-term through investments in U.S. and non-U.S. securities. The targets are achieved through a portfolio of long and short equity positions and fixed income positions and through dedicated value orientation, an emphasis on inefficient market areas, an intensive fundamental research process, and a concentrated portfolio of best ideas.

(b) Alternative investments within this category use a variety of strategies to diversify risks and reduce volatility. These strategies include seeking capital appreciation through event-driven investments that seek to exploit situations in which announced or anticipated events create opportunities to invest in securities and other financial instruments at a discount to their exit values. Other strategies of funds in this category include investing in merger arbitrage, credit investing, real estate, direct investments, long/short investing, spinoffs, and restructurings.

(c) This category includes an alternative investment that seeks to provide consistent long-term appreciation of assets through active leveraged trading and investment, primarily in North American, European, and Asian credit markets. This investment objective is accomplished by taking long or short positions in credit derivatives, equity derivatives, corporate and convertible bonds, loans, public equities, private equities, real estate related assets, collateralized debt obligations, and other asset-backed securities.

(d) The international equity funds within this category invest primarily in equity securities, including common stocks, preferred stocks, depositary receipts, convertible bonds, exchange-traded funds which are open-ended collective investment schemes within the meaning of Regulation 45(e) of the Regulations and other securities, which are convertible into or exchangeable for equity securities. The objective of this fund is to achieve growth of capital through investment in a professionally managed portfolio of international securities comprising both

The Flintkote Asbestos Trust

Notes to Special-Purpose Financial Statements

equity securities traded in the financial markets located in Europe, Australasia, and the Far East. The securities within the funds invest in securities listed or traded on a regulated market; however up to ten percent of the net asset value of the funds may be invested in transferable securities which are not listed or traded on a regulated market.

5. Investment in The Flintkote Company

As part of the Confirmed Plan, the Trust became the sole holder of the New Flintkote Stock issued by Flintkote on the Effective Date. In accordance with the special-purpose accounting policies, the Trust's 100% ownership interest in Flintkote was recorded as an investment within the accompanying special-purpose statements of assets, liabilities, and net assets and initial funding within the accompanying special-purpose statements of changes in net assets. The initial value of the investment in Flintkote transferred on the Effective Date of the Trust was \$46,109,000. As of December 31, 2025, The Flintkote Company has ceased operations and all assets have been distributed to the Trust.

The following summarizes the financial information used to compute the value of the Trust's investment in Flintkote:

<i>December 31,</i>	2025		2024
Cash	\$	-	\$ 599
Total Assets		-	599
Net Estimated Value of Investment	\$	-	\$ 599

During the year ended December 31, 2025, Flintkote made a cash distribution of \$795 to the Trust, reducing the carrying value of the investment to \$0.

6. Income Taxes

During the years ended December 31, 2025 and 2024, the Trust made estimated income tax payments of \$136,000 and \$0, respectively.

The Trust has no estimated taxable income for the year ended December 31, 2025. The Trust had estimated taxable income for the year ended December 31, 2024. As of December 31, 2025, the Trust has approximately \$16,300,000 of estimated net operating loss carryforwards available to offset future taxable income. As of December 31, 2025, the Trust has approximately \$17,200,000 in estimated net capital loss carryforwards available to offset future taxable gains, if any.

As disclosed in Note 2 to the special-purpose financial statements, the Trust does not record a provision for (or benefit from) deferred taxes. Accordingly, there is no provision for deferred taxes associated with cumulative unrealized gains and losses on investments.

The Flintkote Asbestos Trust

Notes to Special-Purpose Financial Statements

7. Insurance Recoveries

During the years ended December 31, 2025 and 2024, the Trust received insurance recoveries from insurers in the amount of \$4,448,643 and \$5,237,229, respectively. Under the terms of settlement agreements with certain insurance companies, the Trust may be entitled to future insurance recoveries. In accordance with the Trust's accounting policies, such insurance recoveries are recorded as an addition to net assets when the funds are received from the insurance companies.

8. Contingent Liabilities

The Plan Documents (as defined in the Confirmed Plan) subject the Trust to certain reimbursement and indemnification obligations that may result in future claims against the Trust. The probability of such claims cannot be reasonably determined. Accordingly, no associated liability has been recorded in the accompanying special-purpose financial statements. Such claims, if any, are not expected to be material. The Trust has obtained insurance for purposes of supporting its indemnification obligations.

9. Liability for Asbestos Claims

The settled but unpaid claims liability as of December 31, 2025 and 2024, consists of personal injury claims that were settled and approved for payment by the Trust, but were unpaid as of December 31, 2025 and 2024. These amounts have been included in settled but unpaid claims in the accompanying special-purpose statements of assets, liabilities and net assets and in personal injury claims expense in the accompanying special-purpose statements of changes in net assets for the years ended December 31, 2025 and 2024.

The ultimate number of Asbestos Trust Claims to be filed and the liability for all such claims are uncertain at this time. The net assets at December 31, 2025 and 2024, represents funding available for all Asbestos Trust Claims for which no fixed liability has yet been established. The net assets at December 31, 2025 and 2024, may or may not be sufficient to meet all future obligations of the Trust.

10. Trust Liability Insurance

The Trust purchased Directors and Officers (D&O) liability insurance requiring premiums of \$82,486 and \$85,860 during the years ended December 31, 2025 and 2024, respectively. The current policy term for the primary D&O policy is from September 30, 2025 through September 30, 2026. The Trust's accounting policy is to expense in the current period any amounts that will not be available to pay future Asbestos Trust Claims or expenses of the Trust. Accordingly, \$82,486 and \$85,860 was recorded as a deduction in net assets during the years ended December 31, 2025 and 2024, respectively.

The Flintkote Asbestos Trust

Notes to Special-Purpose Financial Statements

11. Trustees, Trust Advisory Committee, and Future Claimants' Representative

Fees and expenses of the Trustees, the Trust Advisory Committee, and the Future Claimants' Representative, and related counsels were as follows:

Year ended December 31, 2025

	Fees	Retainer	Expenses	Total
Trustees	\$ 481,893	\$ 240,546	\$ 17,263	\$ 739,702
Future Claimants' Representative	14,261	2,496	3,495	20,252
Future Claimants' Representative Counsel	115,806	-	-	115,806
Trust Advisory Committee	2,880	-	337	3,217
Trust Advisory Committee Counsel	68,877	-	935	69,812
	\$ 683,717	\$ 243,042	\$ 22,030	\$ 948,789

Year ended December 31, 2024

	Fees	Retainer	Expenses	Total
Trustees	\$ 441,546	\$ 211,005	\$ 21,878	\$ 674,429
Future Claimants' Representative	17,560	-	3,160	20,720
Future Claimants' Representative Counsel	58,250	-	3,973	62,223
Trust Advisory Committee	-	-	-	-
Trust Advisory Committee Counsel	28,725	-	559	29,284
	\$ 546,081	\$ 211,005	\$ 29,570	\$ 786,656

The above amounts are included in operating expenses in the special-purpose statement of changes in net assets for the years ended December 31, 2025 and 2024.

12. Subsequent Events

The Trust has evaluated its December 31, 2025 special-purpose financial statements for subsequent events through April 24, 2026, the date the special-purpose financial statements were available to be issued. The Trust is not aware of any subsequent events which would require recognition or disclosure in the special-purpose financial statements.

Supplementary Information



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8401 Greensboro Drive, Suite 800
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Independent Auditor's Report on Supplementary Information

Trustees
The Flintkote Asbestos Trust
Wilmington, Delaware

Our audits of the special-purpose financial statements included in the preceding section of this report were conducted for the purpose of forming an opinion on those special-purpose statements as a whole. The supplementary information presented in the following section of this report is presented for purposes of additional analysis and is not a required part of the special-purpose financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the special-purpose financial statements. The information has been subjected to the auditing procedures applied in the audits of the special-purpose financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the special-purpose financial statements or to the special-purpose financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the special-purpose financial statements as a whole.

BDO USA, P.C.

McLean, Virginia
April 24, 2026

The Flintkote Asbestos Trust**Supplementary Schedules of Operating Expenses**

<i>Year ended December 31,</i>	2025	2024
Legal fees	\$1,059,459	\$ 846,677
Investment advisory and management fees	978,676	1,155,451
Trustee fees, retainer, and expenses	739,702	674,429
Professional fees	554,971	599,224
Administration and claims process development fees	327,708	613,219
Accounting, finance, and tax fees	212,082	191,842
Future Claimants' Representative Counsel fees and expenses	115,806	62,223
Trust liability insurance	82,486	85,860
Trust Advisory Committee Counsel fees and expenses	69,812	29,284
Meeting expenses	33,676	28,968
Future Claimants' Representative fees and expenses	20,252	20,720
Miscellaneous operating expenses	10,086	21,403
Trust Advisory Committee fees and expenses	3,217	-
Total Operating Expenses	\$ 4,207,933	\$ 4,329,300

See independent auditor's report on supplementary information.